

Taiwan: Navigating oil price shocks

Economics/growth/monetary

Group Research

March 5, 2026

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- Taiwan is highly exposed to oil price shocks amid the Iran conflict, with heavy reliance on thermal power, almost entirely imported, and a large share of crude oil and LNG sourced from the Middle East.
- Direct export exposure to the Middle East is minimal, while structural technology trends continue to support Taiwan's exports.
- An oil price shock would pressure Taiwan's "Goldilocks" mix of strong growth and contained inflation, but is far from causing stagflation.
- The central bank retains monetary policy flexibility.
- **Forecast implications:** We maintain our 2026 GDP growth forecast of 7.0%, while seeing upside risks to our inflation forecast of 1.5%.

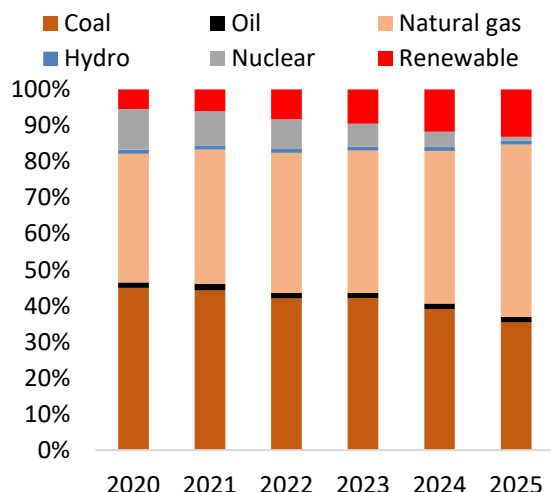
The ongoing conflict involving Iran and the US/Israel has immediately impacted global energy markets and maritime trade. Roughly 20–30% of the world's crude oil and liquefied natural gas (LNG) passes through the Strait of Hormuz, and disruptions there have reduced the flow of Middle Eastern oil and LNG. Markets have responded, pushing Brent crude and other benchmarks higher. Meanwhile, insurers have withdrawn war-risk coverage, and major carriers have suspended Gulf transits, creating vessel backlogs and higher freight costs. Alternative routes around Africa increase transit time and costs, although shipping and logistics are gradually adjusting to these challenges.

Energy exposure

Taiwan is highly exposed to oil price shocks due to its energy structure. The island relies heavily on thermal power, which accounts for around 85% of electricity generation. Although renewable capacity has expanded in recent years, much of the increase has offset the phase-down of nuclear power rather than materially reducing fossil fuel dependence.

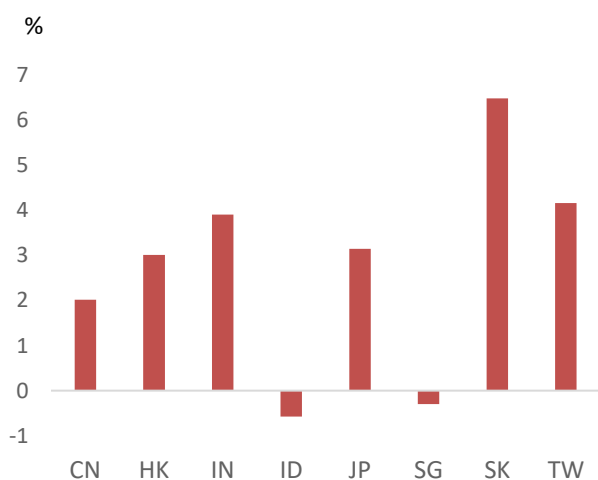
Nearly all thermal fuel inputs are imported. Net fuel imports accounted for around 4% of nominal GDP in 2025, among the highest ratios in Asia, leaving the economy sensitive to sustained increases in global energy prices and shipping costs.

Taiwan: Electricity supply



Sources: CEIC, DBS

Asia: Net fuel imports/nominal GDP (2025)



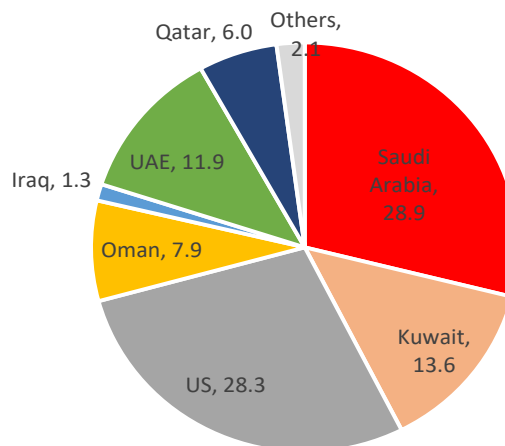
Sources: CEIC, DBS

Taiwan sources roughly 70% of its crude oil from the Middle East—particularly Saudi Arabia, Kuwait, and the UAE—and about 30% of its LNG from Qatar. A prolonged disruption in Hormuz would tighten supply and raise costs, although strategic reserves and diversified suppliers reduce the risk of severe shortages.

Higher input costs would raise electricity tariffs and production costs, particularly for energy-intensive sectors such as petrochemicals, steel,

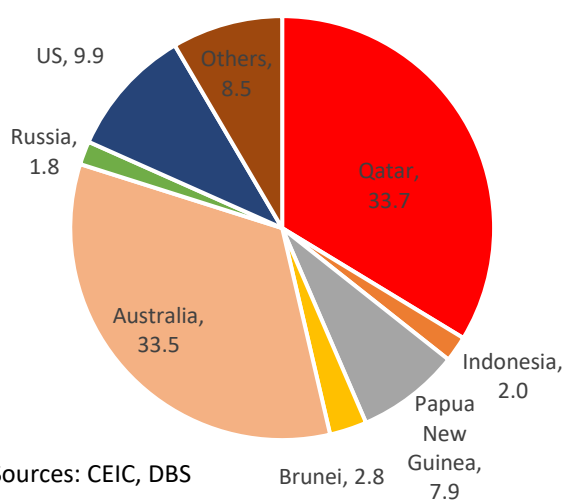
and semiconductor fabrication. Households would face higher energy bills, although government subsidies and ongoing wage growth should help cushion the impact.

Taiwan: Crude oil imports by source (2025)



Sources: CEIC, DBS

Taiwan: LNG imports by source (2025)



Sources: CEIC, DBS

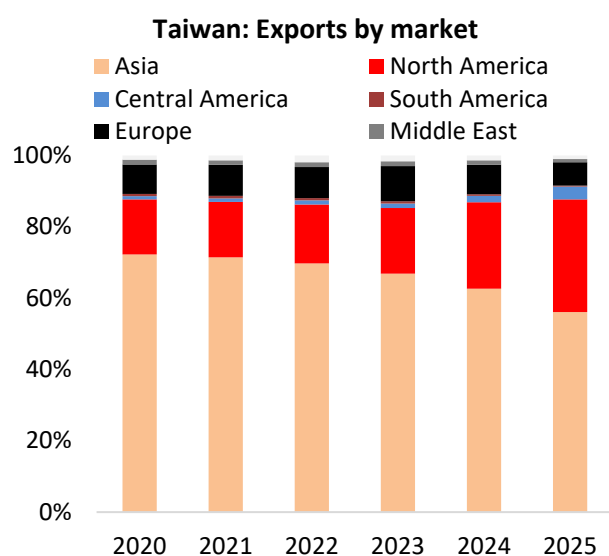
Trade exposure

Taiwan's direct export exposure to the Middle East is minimal, accounting for less than 1% of total exports in 2025. Europe accounts for around 6%, suggesting that shipping disruptions in the Red Sea or Suez Canal would have only a limited first-round impact on trade volumes.

The larger risk comes from second-order effects of higher global energy costs. Elevated oil prices act as a tax on consumption, reducing household purchasing power in key markets such as the US and Europe. This could dampen demand for consumer electronics, PCs, and smartphones. **However, structural technology trends continue to support Taiwan's exports.** AI-related investment, data centers, and industrial policy-driven growth provide a cushion, helping offset a slowdown in traditional electronics exports.

1.3ppt. These estimates exclude additional drag from weaker global demand, which could further affect exports and GDP.

The central bank retains flexibility. With a base-case GDP growth forecast of 7% and CPI at 1.5%, the risk of inflation exceeding 2% may initially outweigh the risk of growth falling below potential (~3%), supporting a bias toward tightening. If external demand weakens and export momentum slows, policymakers can pivot toward easing to stabilize growth.



Sources: CEIC, DBS

Macro implications

An oil price shock would weigh on Taiwan's "Goldilocks" mix of strong growth and contained inflation, but it is far from triggering stagflation. If oil stabilizes around US\$80/bbl, GDP growth could slow by roughly 0.3ppt, with CPI rising about 0.4ppt. If oil reaches US\$100/bbl and remains at that level for the rest of the year, GDP growth could decline by about 0.9ppt, and inflation could rise around

Market implications

Financial markets remain another channel of adjustment. Taiwan's equity valuations are high, with total market capitalization of the TWSE exceeding 300% of nominal GDP. Heightened geopolitical risks may prompt global investors to reduce exposure to high-beta markets. Still, strong corporate earnings and technology sector growth provide resilience, helping the market absorb shocks without destabilizing the broader economy.

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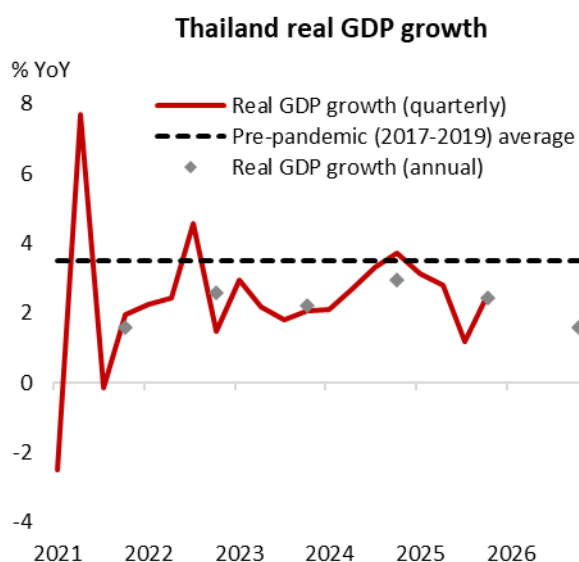
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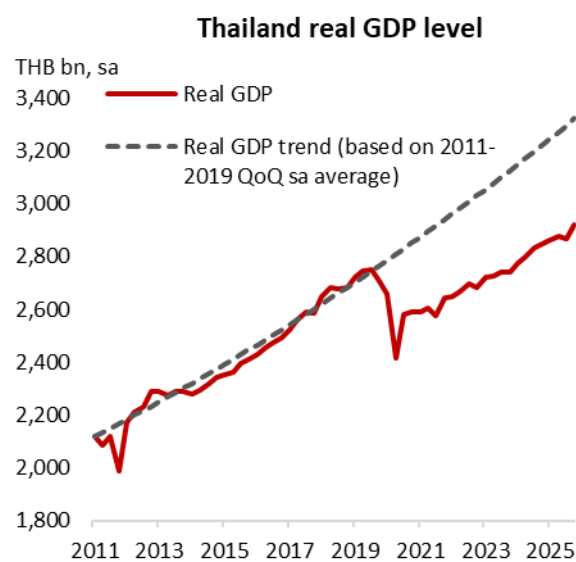
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- Thai real GDP growth rose to 2.5% yoy in 4Q25 due to improved domestic demand. Nonetheless, full-year growth eased to 2.4% in 2025.
- Private and government consumption were boosted by stimulus in 4Q25, but household spending will likely be constrained by income challenges and high debt in 2026.
- Good exports, while strong, eased in 4Q25, and will face headwinds from the lagged impact of US tariffs in 2026. The recovery in foreign tourism will likely be gradual.
- High likelihood of policy continuity after the Bhumjaithai Party's decisive electoral victory.
- We expect the dovish BOT to cut its policy rate by 25bps to 1.00% in 2026, but will likely hold in February to preserve policy space after the better-than-expected 4Q25 growth.
- **Forecast implications:** We maintain our 2026 forecasts for real GDP growth and headline inflation at 1.6% and 0.5%, respectively.



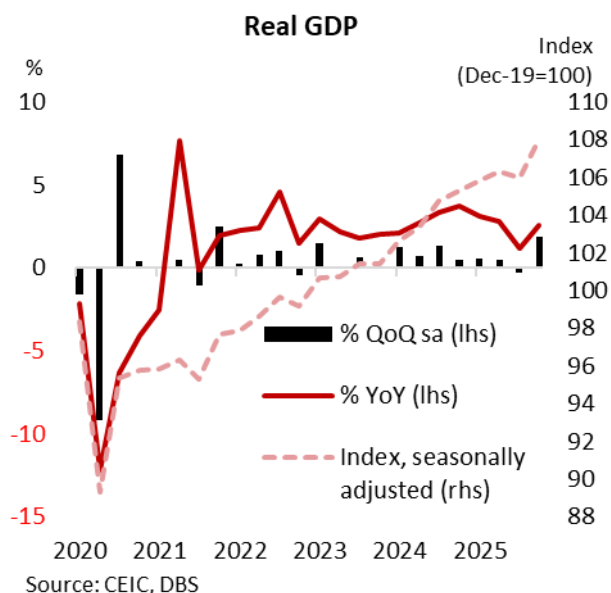
Source: CEIC, DBS. 2026 = DBS forecast



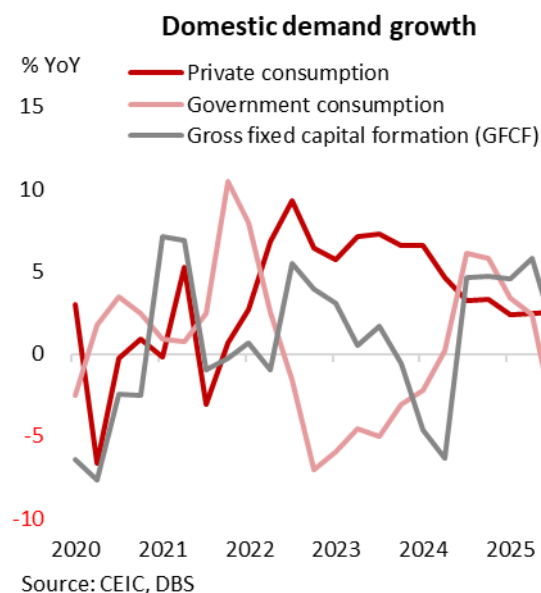
Source: CEIC, DBS

Real GDP growth

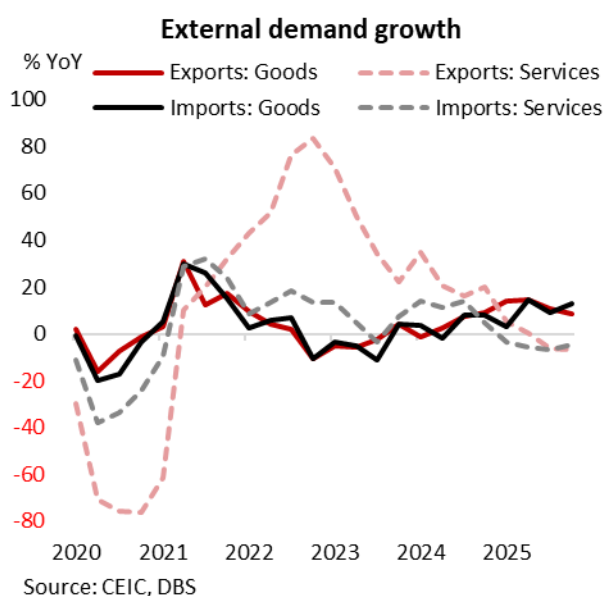
Real GDP growth rose to 2.5% yoy in 4Q25, up from 1.2% yoy in 3Q. However, growth for full-year 2025 eased to 2.4%. We maintain our forecast for slower growth of 1.6% in 2026, given various challenges.



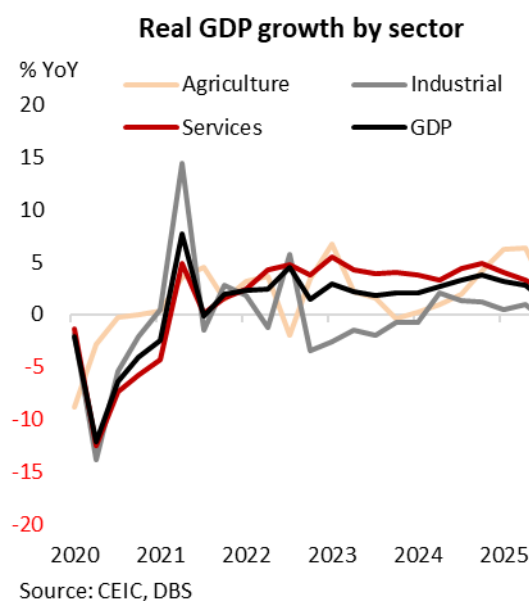
Overall growth was boosted by improved domestic demand in 4Q25. Private consumption and government consumption were lifted by temporary stimulus support. Investment growth surged to the highest in 10 years.



External demand growth in 4Q25 eased further for the third consecutive quarter. Goods exports, while strong, decelerated, and services exports remained in contraction.

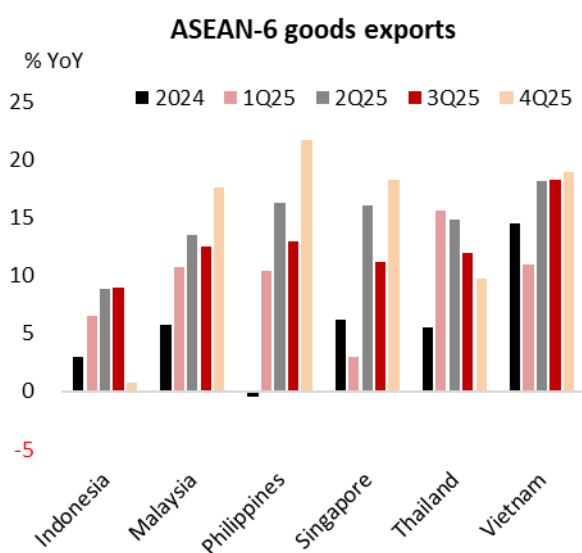


The pick-up in economic expansion was driven by a rebound in the industrial and services sectors in 4Q25. The agriculture sector was negatively impacted by weather disruptions.

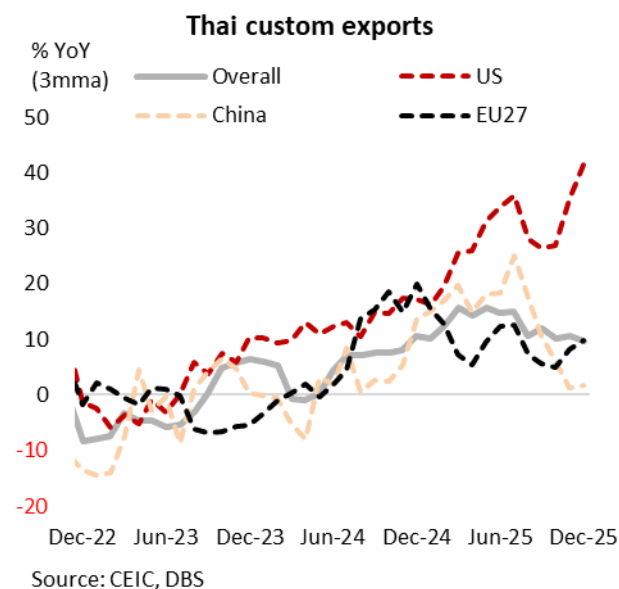


Goods exports

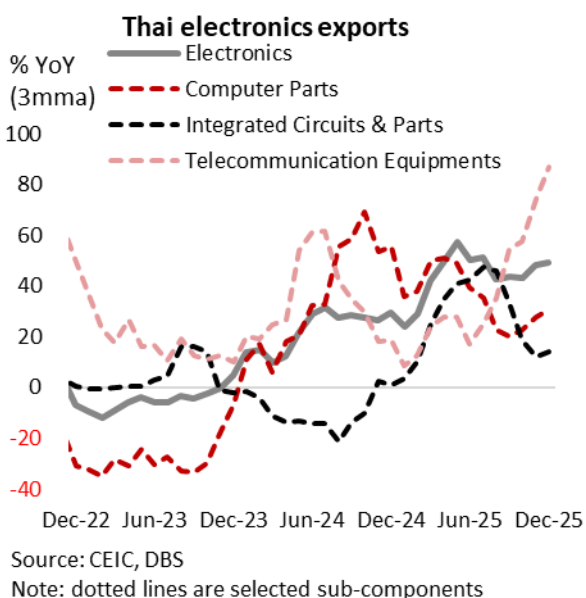
Regional goods exports performed well in 2025 despite the US tariff roller coaster. However, strong Thai export growth eased over the course of 2025. Thai shipments will face headwinds from the lagged impact of US tariffs in 2026.



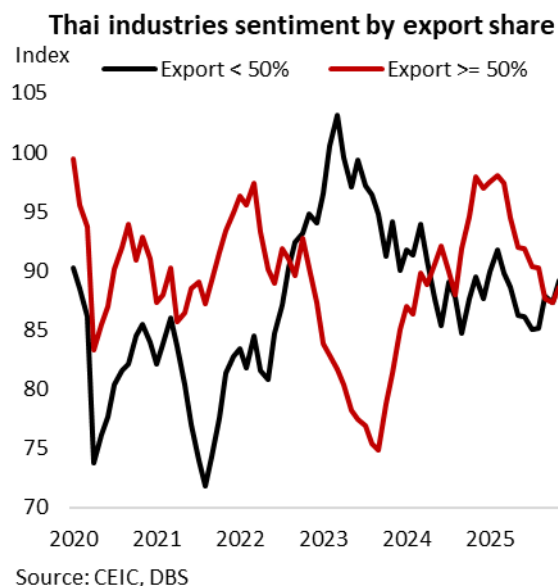
Thai goods exports benefitted from accelerating momentum to the US in 2025, but this trend looks unsustainable in 2026.



Thai electronics exports have been supported by global artificial intelligence (AI)-related external tailwinds. While these tailwinds remain supportive, there are risks of excessive exuberance.

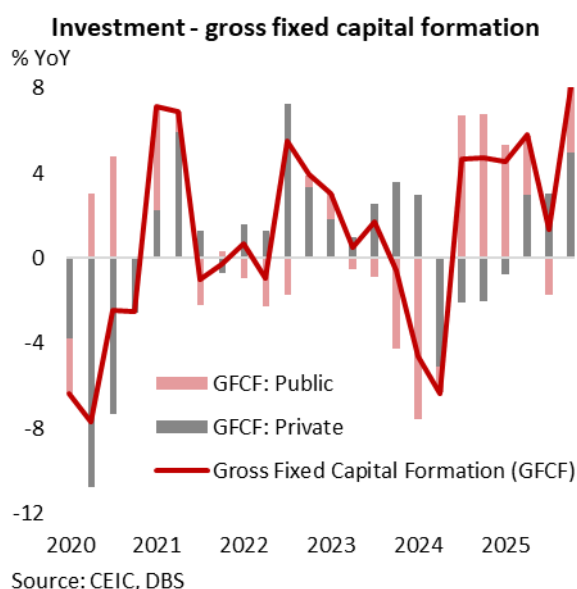


Sentiment among Thai industries more exposed to exports remains cautious despite strong export growth, likely due to the still-uncertain global trade policy landscape.

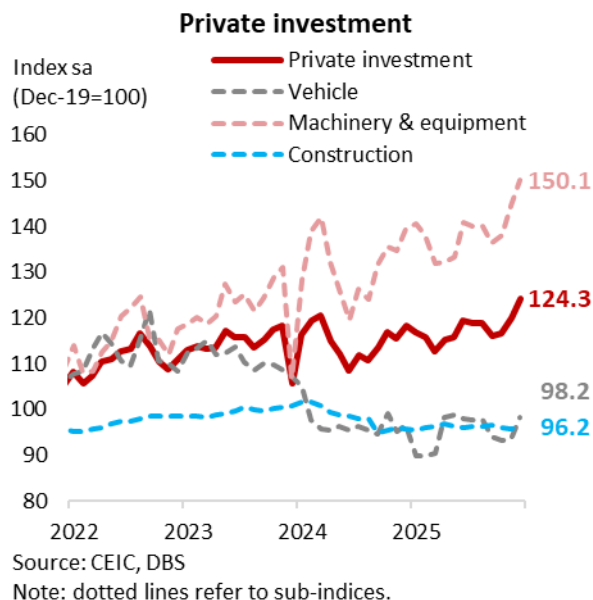


Investment

Quarterly investment growth in 4Q25 accelerated to a 10-year high, driven by both public and private sectors. We will have to watch if the strong momentum can be sustained in 2026.



Private investment was mainly supported by an increase in machinery and equipment at the end of 2025. However, an uncertain domestic and external landscape could dampen investor sentiment.



The Bhumjaithai Party looks likely to lead the new coalition government after its decisive victory during the elections on 8 February. We see increased likelihood of political stability with a technocratic government to implement its proposed economic policies, but execution remains key.

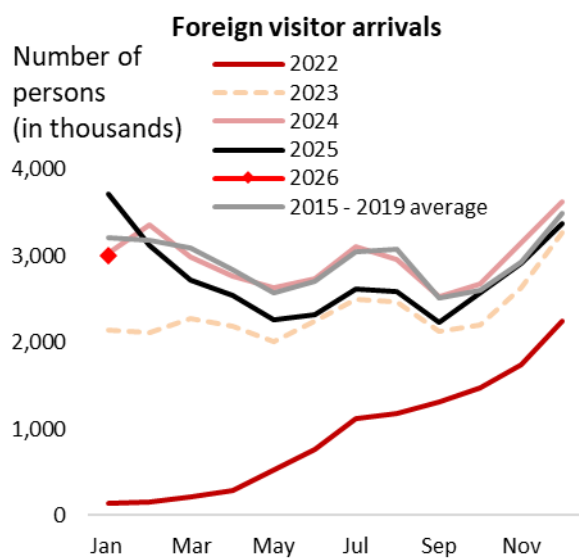
The Bhumjaithai Party's Economy 10 Plus Policies

# Policies	Description	# Policies	Description
1 Small & Low-Income Support (Small Business & Welfare Plus)	Support for small businesses and low-income households through reforms to the state welfare card, continued co-payment (Half-Price Plus) scheme, electricity subsidies (capped at 3 THB per unit for the first 200 units), government savings bonds and savings incentives, and fast debt consolidation to reduce financial burdens.	6 Green Economy Plus	Supporting environmentally friendly economic activity, clean energy (e.g., solar and EV sectors), a carbon market, and incentives for green businesses to promote sustainable growth.
2 Made in Thailand SMEs Plus	Strengthening Thai SMEs with capital injections, easier loan guarantees, improved market access, and support to help locally-made goods succeed domestically and abroad.	7 Digital & AI Plus	Expanding access to AI and digital tools to improve productivity, income opportunities, and new job creation.
3 Investment Plus	Boosting investment (targeting around 30 % of GDP within four years), including public-private co-investment and incentives to attract both domestic and foreign investment, especially in future industries.	8 Equal Education Plus	Genuine free education with built-in pathways to employment — including online platforms, skills training, and job linkage programs.
4 Produce & Sell Plus	Enhancing production of the right goods and ensuring they meet consumer demand, along with support for local production tailored to market needs.	9 Senior Citizens Plus	Policies to enhance employment, income, care, and tax benefits for senior citizens (e.g., tax deductions for hiring seniors, incentives for elderly employment, community caregiver programs, and development of senior care centers).
5 Trade Plus	Promoting smart, high-value trade, upgrading the production base, and expanding Thai exports via mutually beneficial international partnerships.	10 Thailand Plus (Regulatory & Governance Reform)	Streamlining regulations, accelerating approvals, and creating a more investment-friendly environment to support a “new economy” and increase Thailand’s competitiveness.

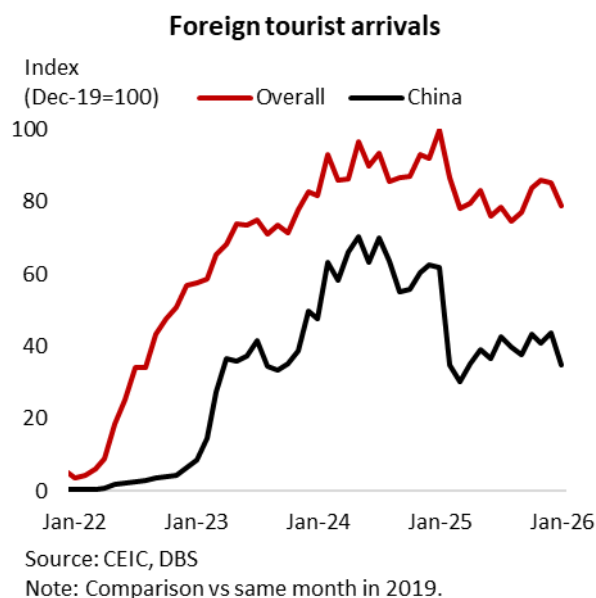
Source: News, DBS compilation

Tourism and Private consumption

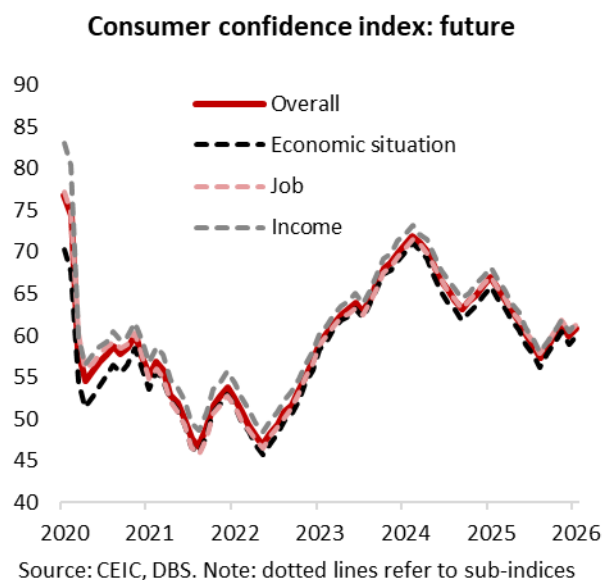
Thailand's foreign tourism is starting 2026 on a soft note, following the gradual increase in 4Q25. The outlook is for a modest improvement in 2026, but a strong baht could pose competitiveness challenges.



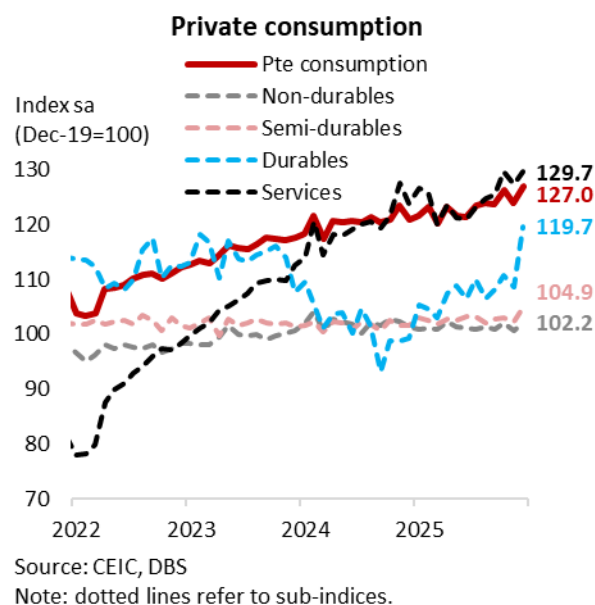
The kingdom faces challenges in attracting Chinese tourists, having been impacted by safety concerns, and is also losing them to regional destinations. The recovery in Chinese tourists will likely be gradual.



Consumer confidence recovered slightly in 4Q25 due to government stimulus, but will likely be cautious in early 2026 amid income challenges due to economic uncertainty.

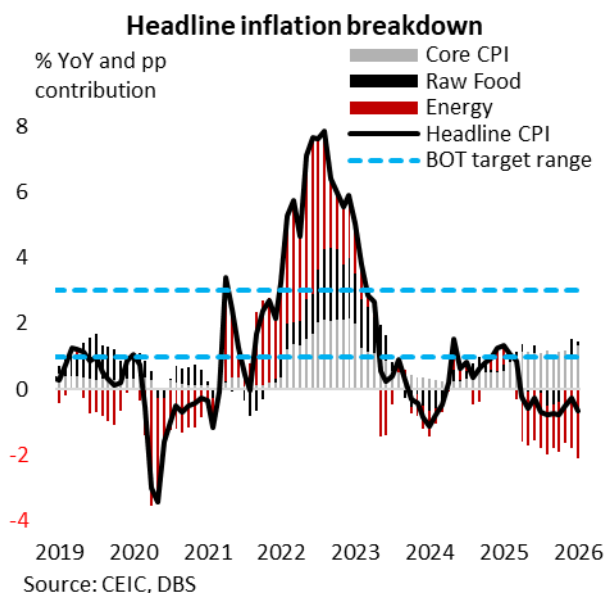


Private consumption was temporarily boosted by durable goods, notably vehicle sales. However, purchasing power remains fragile amid cautious consumer sentiment, and high household debt.

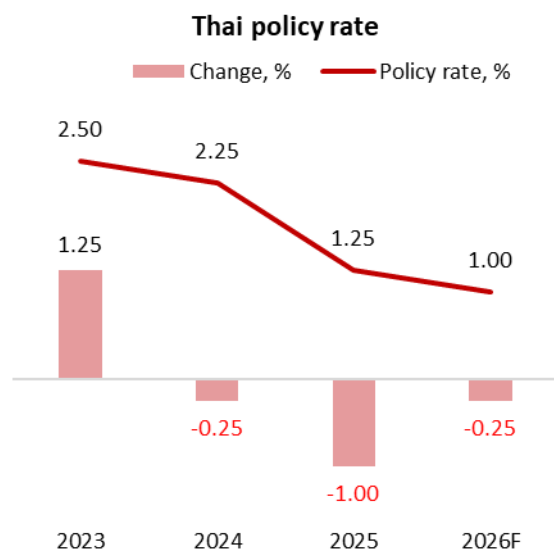


Inflation and Monetary policy

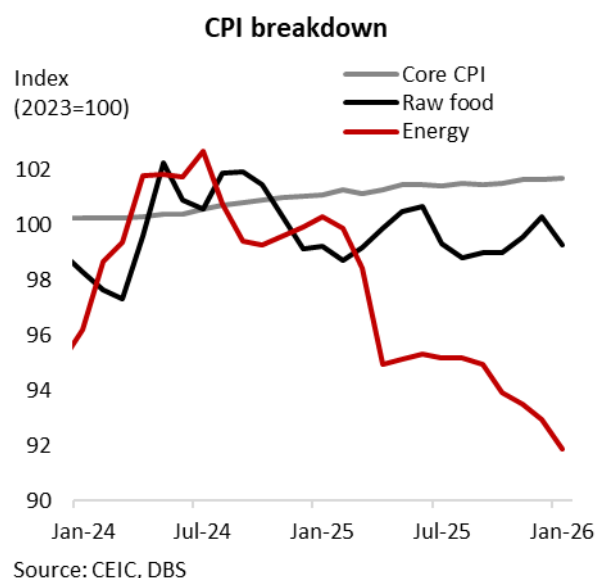
Headline inflation remains negative for the 10th consecutive month as of January 2026. This was due to supply-side factors, although demand-pull pressures were also weak. We maintain our forecast of 0.5% for 2026.



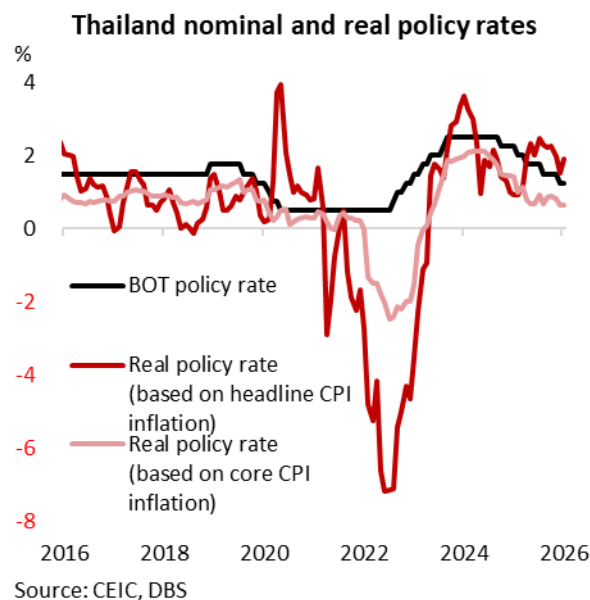
While we think the Bank of Thailand (BOT) will cut its policy interest rate again in 2026 to support growth, we see little urgency to ease monetary policy in February after the stronger-than-expected growth rebound in 4Q25.



Lower energy prices, including fuel and electric tariffs, are the key supply-side factor dampening headline inflation. Food prices face some upside pressure from weather disruptions. Core CPI is only edging up gradually.



Real policy interest rates in Thailand are not low, even as the BOT has eased monetary policy by 125bps since October 2024. There is still room for rate cuts, although policy space is diminishing.



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